

An extremely misleading double-digit GDP fall in 2026

- **Key changes:** We've slashed our 2026 GDP growth forecast for Ireland to -10.9% from -4.3% last month after the large downward revision to Q1 GDP, which now shows a staggering -12% q/q, down from the initial 2%. However, this report underlines how unreliable GDP is as a measure of Ireland's economic performance. The average of our forecasts for the more representative metrics of underlying performance is down marginally in 2026, driven by a cut to employment growth. Meanwhile, we revised up our 2026 inflation forecast to 3.6% from 3.4% last month, owing to higher oil price assumptions.
- **Short-term forecast:** Our forecast for a double-digit GDP fall in 2026 is misleading as this measure isn't representative of Ireland's underlying performance. Using our preferred metrics, we forecast underlying growth of 2.3% in 2026 and 2.2% in 2027 after a 3.6% expansion in 2025, consistent with continued healthy, albeit moderating, growth.
- **What to watch out for:** The inflation outlook is uncertain and linked to developments in the Middle East. The duration of the disruption to shipping traffic in the Strait of Hormuz, along with how quickly energy production can recover, remains the critical known unknown. Trade policy is another source of uncertainty, given that the Irish economy is highly open and the US is Ireland's largest bilateral trading partner.

Table 1: Ireland forecast overview

(ANNUAL PERCENTAGE CHANGES UNLESS SPECIFIED)						
	2023	2024	2025	2026	2027	2028
GDP	-2.5	2.6	12.4	-10.9	6.7	4.2
Private consumption	5.1	3.0	2.9	2.0	1.8	2.4
Industrial production	-1.8	-5.5	18.3	-4.6	5.3	2.3
Employment	3.4	2.7	2.2	0.8	2.3	1.9
Unemployment rate (%)	4.3	4.3	4.7	5.1	5.1	5.0
Government balance (% of GDP)	1.4	4.1	1.8	0.5	0.5	0.5
Gross government debt (% of GDP)	41.8	38.3	32.9	35.4	31.9	29.3
Current a/c balance (% of GDP)	7.0	16.2	8.2	7.1	6.9	7.2
Consumer prices	6.3	2.1	2.2	3.6	1.8	1.5
Cen. bank policy rate (% EOP)	4.00	3.00	2.00	2.50	2.00	2.00
10yr govt. bond yield (% EOP)	2.40	2.65	3.03	3.23	3.43	3.40
Exchange rate (US\$ per euro, EOP)	1.11	1.04	1.18	1.17	1.18	1.18

Source: Oxford Economics

Baseline forecast

Recent developments

Final figures showed Ireland's GDP decreased by 12% q/q in Q1, consistent with a large downward revision from the 2% fall initially reported. A collapse in multinational-dominated sectors, particularly industry explains the GDP plunge, which built on the 4% q/q fall in Q4 2025 ([Chart 1](#)). While recent declines need to be seen in the context of the 19% jump in GDP between H2 2024 and Q1 2025, the huge volatility and data revisions underscore GDP's unreliability as a gauge of the underlying Irish economic dynamics due to distortions created by large multinationals.

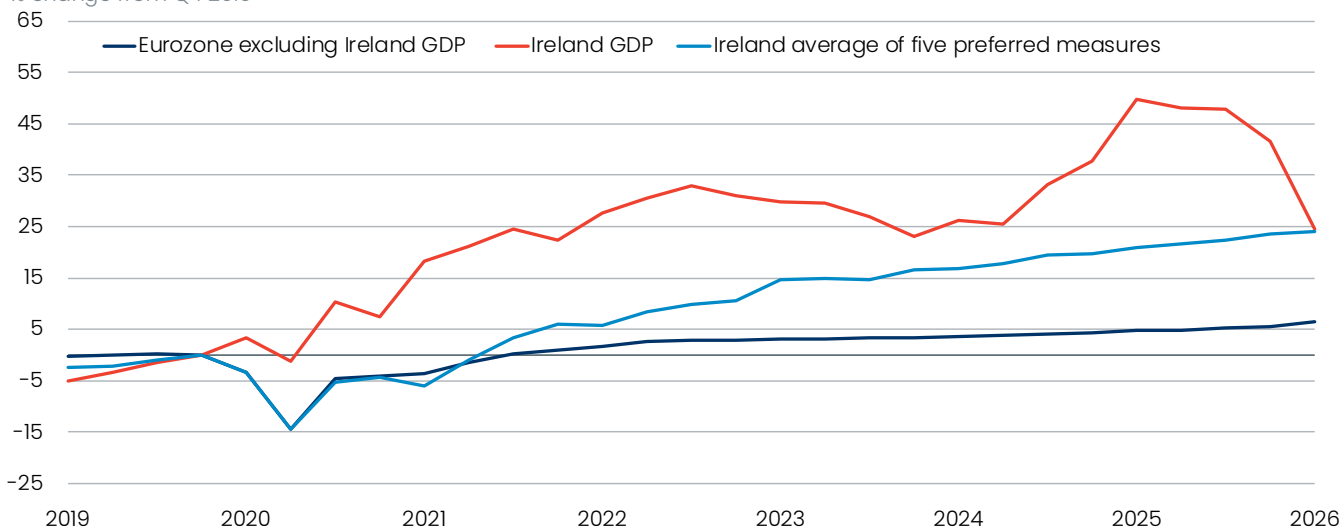
The expenditure breakdown confirms the huge drop in GDP is misleading. Consumer spending rose 0.6% q/q in Q1 and is up 2.6% y/y. The modified domestic demand measure, which attempts to strip out distortions from large multinationals rose by a similar amount over the quarter and stands near 4% y/y. The Exchequer returns data confirm a solid underlying performance, with income tax and VAT receipts growing more than 7% in the year to May, consistent with growth near 4% in real terms.

Still, there are some signs that growth is moderating. Employment fell in Q1 on a quarterly basis, and annual growth eased to a post-pandemic low of 0.1%, while the unemployment rate returned to 5% after briefly dropping to 4.7% in Q4 2025. Despite slight upticks in May, the composite PMI and consumer sentiment index remain at relatively weak levels.

Chart 1: Sharp GDP falls are largely payback from undue strength in H2 2024 and Q1 2025

Ireland: GDP and underlying growth

% change from Q4 2019



Sources: Oxford Economics, Haver Analytics

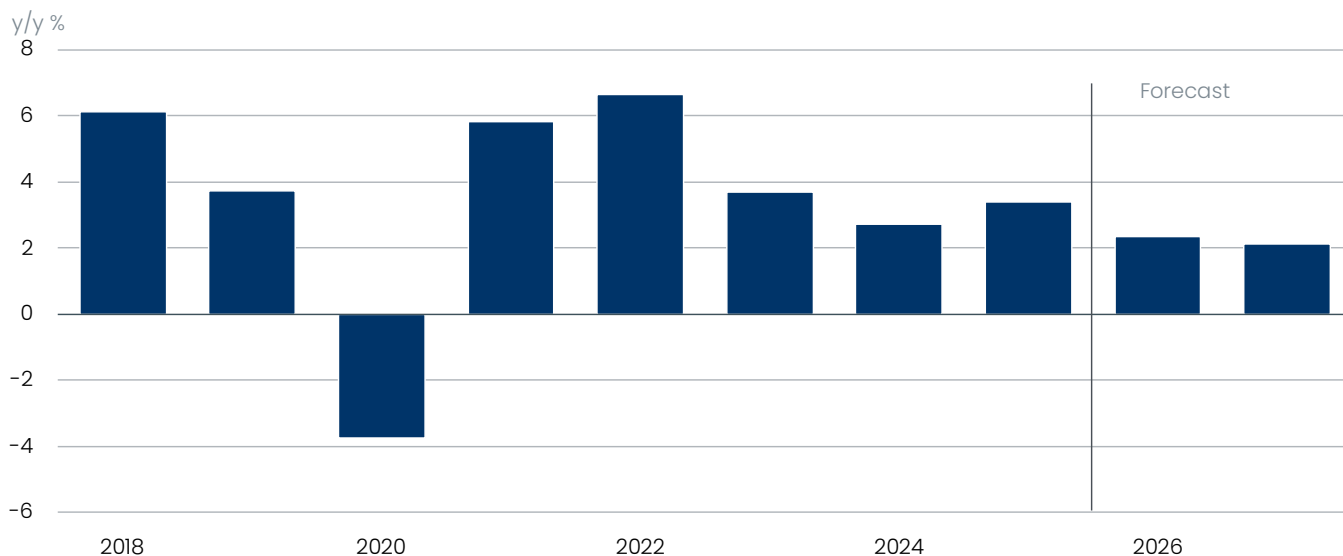
Short-term forecast

We forecast Irish GDP to contract by nearly 11% in 2026 after growing by 12.4% in 2025, with growth resuming in 2027 at 6.7%. GDP posted large falls in Q1 2026 and Q4 2025, halting a sequence of strong performance. The negative carry-over effect into 2026 and the staggering fall at the start of the year explain this year's GDP contraction, as we anticipate growth to resume from Q2.

Our forecasts using alternative metrics that better represent underlying dynamics indicate growth of 2.3% in 2026 and 2.2% in 2027 after 3.6% in 2025, consistent with a continued healthy, albeit moderating, performance ([Chart 2](#)).

Chart 2: We expect some moderation in underlying growth

Ireland: Average of our measures of underlying growth



Sources: Oxford Economics, Haver Analytics

Policy assumptions

Fiscal policy. The recent Annual Progress Report underscored Ireland's expansionary fiscal policy. We project public expenditure to grow by 7.4% in 2026 and rise 6.4% on average over 2026-2030, the highest rate in the EU ([Chart 3](#)). Moreover, expenditure overruns have been the norm in recent years, and data through May suggest the same will happen this year, particularly if energy prices remain elevated until the winter season, as we expect. For now, the government has announced additions to the €500mn initial support package focused on fuel tax cuts.

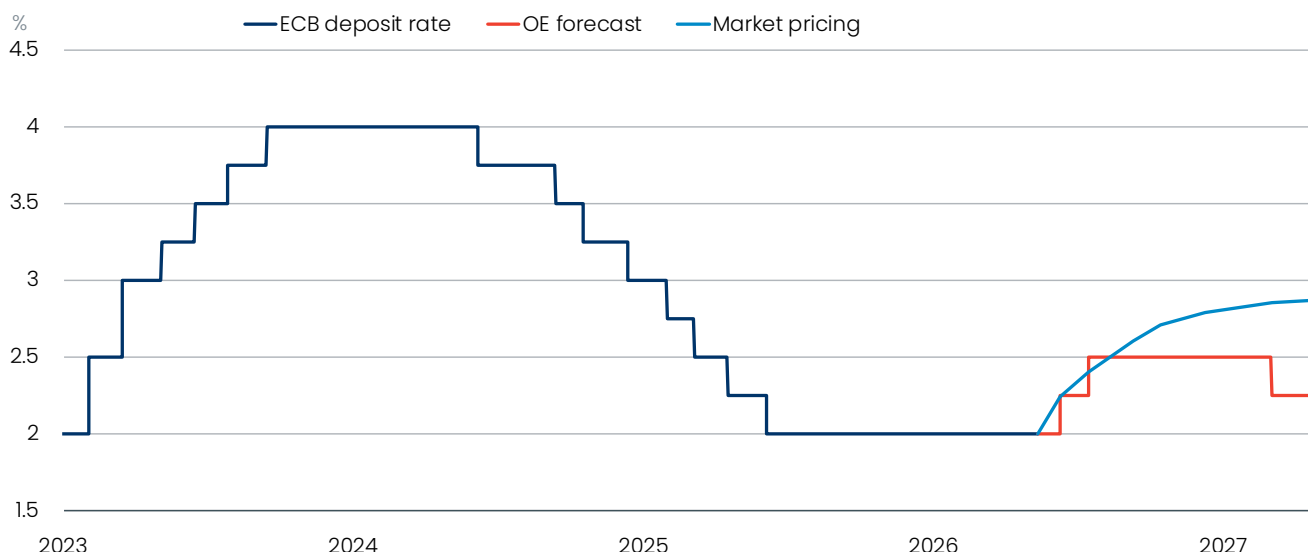
Bumper corporate tax receipts mean authorities have some room to manoeuvre, but it shouldn't be ignored that Ireland runs a large and growing underlying deficit if excess corporate tax revenues are excluded.

Monetary policy. We project two 25bp rate hikes by the European Central Bank this year to keep inflation expectations anchored amid a quick rise in energy prices. This reflects a new era of more frequent global supply shocks that require a more robust policy response. However, the ECB's communication has remained hawkish since the inflation surge in 2022, so we think the central bank won't be able to look through this energy shock, even if it deems it temporary. But we expect the ECB to cut rates again relatively quickly in mid-2027, bringing the deposit rate back to 2% as energy prices normalise.

Importantly, Irish banks are relatively slow to adjust official interest rates, given the large pool of overnight deposits at a marginal interest rate, meaning they're relatively insulated from market rates. So, we don't think these interest-rate hikes will have visible impacts in the Irish economy.

Chart 3: We anticipate two hikes from the ECB

Eurozone: ECB policy rate



Sources: Oxford Economics, Haver Analytics

Key drivers of short-term forecast

Consumers will remain cautious. Consumer spending rose by nearly 3% in 2025 and started 2026 on a solid footing with a 0.6% q/q gain. Despite the conflict in Iran and the associated spike in inflation, we remain relatively constructive about the outlook for consumer spending as we forecast growth of 2% in 2026. Healthy household balance sheets, solid income growth, and a large pool of savings support the outlook.

But there are some important downside risks as the conflict takes its toll. The most direct impact to consumer spending is via higher inflation and the associated hit to purchasing power. But consumer confidence is also sensitive to energy prices as highlighted by the sharp falls in March and April. While consumer sentiment rebounded somewhat in May, it remains depressed and will combine with higher inflation to dampen households' appetite to spend. The small increase in interest rates will also encourage savings, which have been high in recent years.

Inflation set to resurge. May figures showed inflation was broadly unchanged for a second consecutive month after rising by 1ppt to more than 3.5% in March. Energy prices fell 4% m/m in May, leaving the cumulative uptick since the start of the conflict in Iran at 10%. Food price growth also remained modest in May, easing to a near six-year low of 1.5%. More negatively, the latest figures showed a solid increase in core inflation to nearly 3%, though base effects partly explain recent increases.

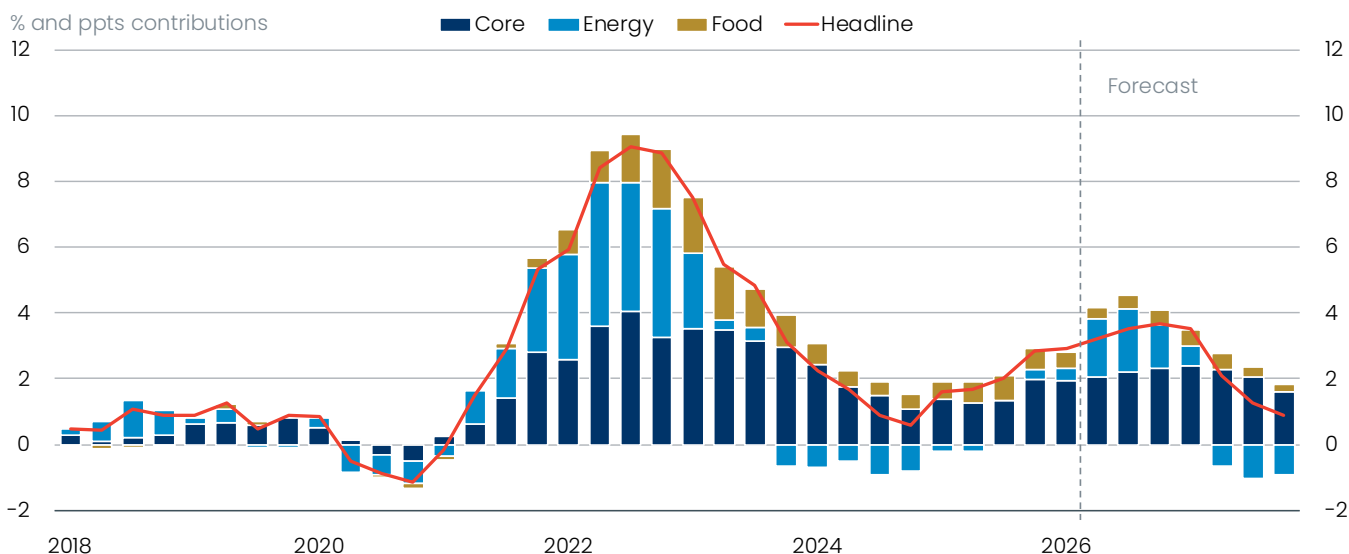
We don't think the recent respite in energy prices will last, as we expect oil prices to re-ignite at close to \$110 per barrel in Q3, on average, with risks tilted to the upside. We expect core and food price inflation to accelerate through H2 as second-round effects become more visible and helpful base effects reinforce annual growth rates. We forecast headline inflation to average more than 3.6% in 2026 and peak near 4% in Q3 before gradually easing.

The inflation outlook is quite uncertain and linked to developments in the Middle East. The duration of the disruption to shipping traffic in the Strait of Hormuz along with how quickly energy production can recover remain

the critical known unknowns. We estimate that if the US or Iran's stance leads to a more prolonged closure, oil stocks could reach a critical threshold by mid-September, triggering a price spike towards \$150 per barrel.

Chart 4: Inflation is set to resurge, but a repeat of 2022 will likely be avoided

Ireland: Headline inflation breakdown



Sources: Oxford Economics, Haver Analytics

A still-solid labour market despite Q1's setback. The Q1 labour force survey was downbeat. Employment fell on a quarterly basis and annual growth nearly halted for the first time in the post-pandemic period. The unemployment rate returned to 5% after a brief drop to 4.7% in Q4 2025. We don't think this disappointing report marks the start of sustained deterioration in the Irish labour market given our relatively solid outlook for the wider economy. Falls in quarterly employment aren't the norm if expansions happen, and we think this is one of those instances. Moreover, provisional monthly figures in Q2 to May signal a slight decline in unemployment in the current quarter.

Overall, we view the latest data as tentatively validating our outlook for a gradual moderation in employment growth, with a still-tight labour market. However, the balance of risks has worsened. While upside risks have clearly dominated in recent years, downside risks are set to take over.

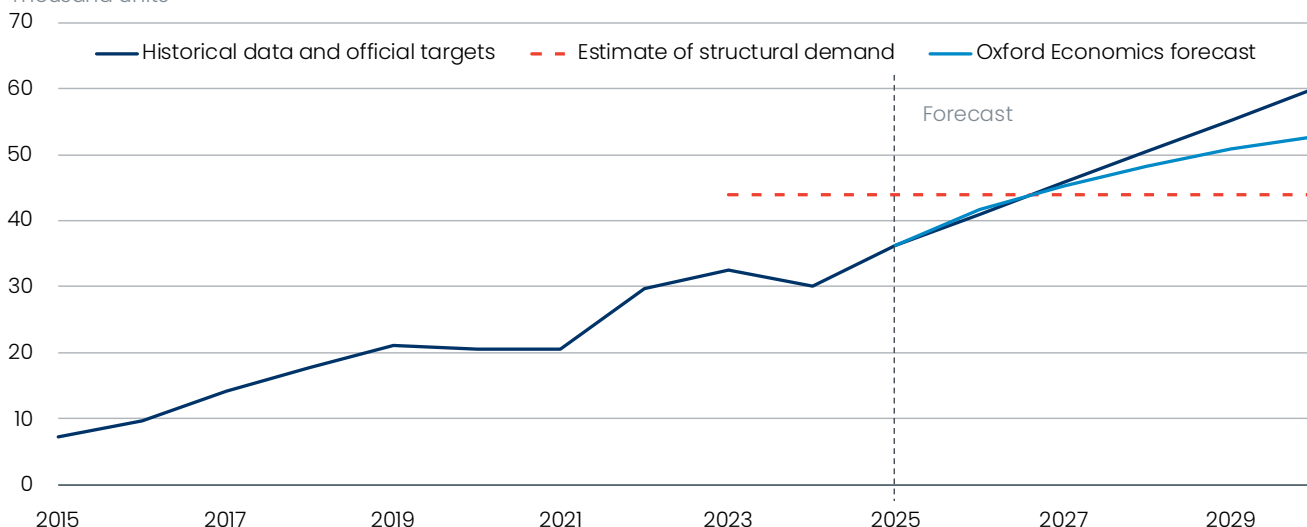
Housing will support investment. Large multinationals heavily distort Irish investment, but underlying investment was more resilient than expected in 2025. Persistent uncertainty and a volatile external environment underpin our cautious outlook for non-housing investment.

Stronger-than-expected housing completions in Q1 reinforced our view that housing investment will solidly pick up in the coming years ([Chart 5](#)). We anticipate nearly 42,000 new dwellings will be delivered this year, a 17% increase from nearly 36,000 in 2025. Years of persistent housing shortfalls mean a period of oversupply is needed to balance the housing market, but this is unlikely to happen, supporting ongoing price growth.

Chart 5: Housing investment will solidly pick up in the coming years

Ireland: New dwelling completions and structural demand

Thousand units



Sources: Oxford Economics, Haver Analytics

Pharma tariffs are key. The economy is highly open, with trade a key engine of its recent strong performance. The US is Ireland's largest bilateral trading partner, accounting for more than 20% of Ireland's total exports. Pharmaceuticals dominate exports to the US, with 2025 an extreme example, as the sector was boosted by stockpiling ahead of potential tariffs. This was reinforced by Ireland becoming a key hub for the active ingredient used in popular weight-loss and diabetes drugs.

Ireland's dependency on the US goes beyond trade. US companies account for nearly 10% of all employment, with many more jobs reliant on their presence in the country. Tax revenue is also highly dependent on US multinationals, which account for 75% of all corporation tax revenue. Income tax revenue from high-income earners in these multinationals and general tax revenue generated by higher levels of economic activity also extend Ireland's tax base.

Ireland's effective tariff rate on exports to the US is more sensitive to the sectoral tariff on pharma exports than to the headline rate. US President Donald Trump has announced the introduction of pharmaceutical tariffs of up to 100% this summer. But these tariffs will be heavily watered down by exemptions and prior trade deals: the tariffs only apply to patented drugs, not generics; a lower 15% tariff rate will be placed on drugs from the EU; and it looks like more than a dozen of the largest global pharmaceutical companies, including key players in Ireland, will end up fully exempt from these new Section 232 tariffs. At face value, this signals Ireland's key export to the US may continue to face a relatively low effective tariff rate, at least temporarily.

What to watch out for

Large dependency on multinationals. Ireland's role as a hub for multinationals in IT, pharmaceutical products, and finance has increased in recent years. Although this has supported strong headline and underlying growth, it leaves the economy vulnerable to potential swings in foreign investment. Foreign-owned multinationals are directly responsible for around 12% of employment and more than 50% of gross value added.

Multinationals are boosting public finances – a small number are behind the recent jump in corporate tax revenue, which has nearly tripled since 2019. US multinationals are particularly important for Ireland, accounting for around 75% of corporate tax revenue, equivalent to more than 20% of all of Ireland's tax revenue. Just two sectors – tech and manufacturing, mainly pharma – account for about 87% of the corporation tax paid by large

US-owned firms in Ireland. Both sectors have avoided US tariffs to date, but that could change, particularly in relation to pharma.

Capacity constraints. Despite solid population growth, tightness in the labour market suggests capacity constraints are a central issue for Ireland's medium-term economic prospects. Infrastructure deficits in Ireland are well documented, as the fiscal council has identified significant deficits in housing, health, transport, and electricity. More investment will be needed to help transition to a greener society, but capacity constraints will make it difficult to address these deficits quickly. Many projects rely on more construction workers, who are already scarce in Ireland.

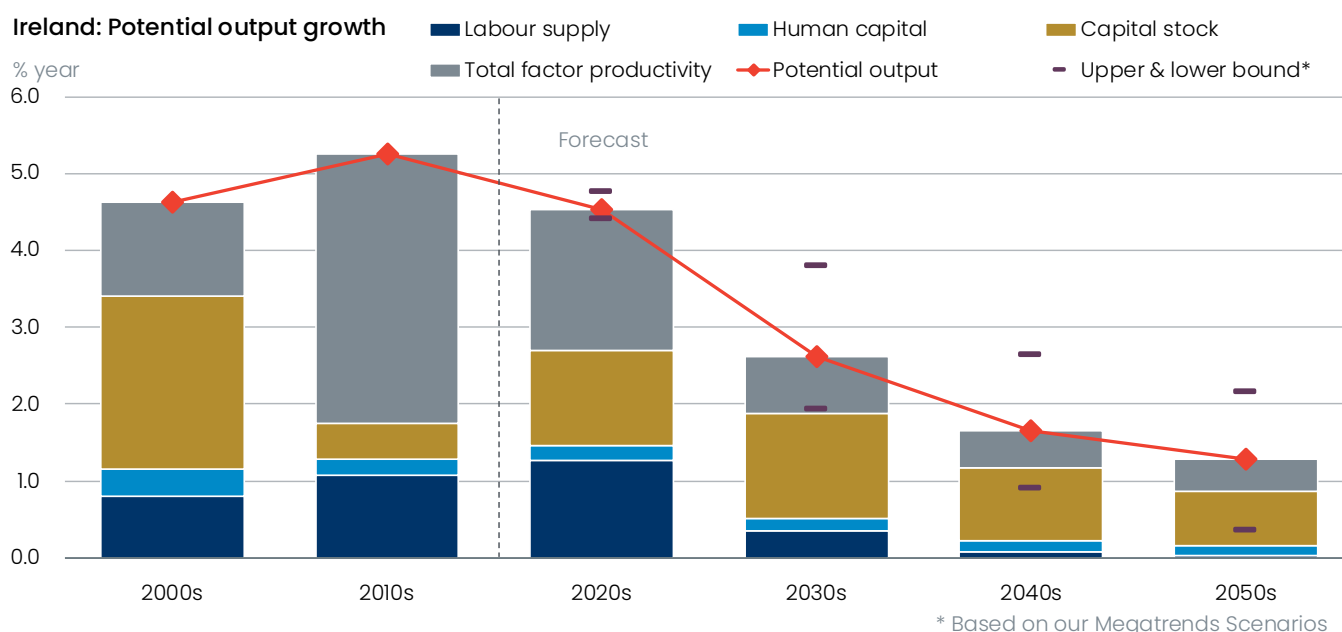
Strong net migration. Ireland has gone through a wave of strong net migration in recent years. The latest figures show a net migration flow of around 80,000 in 2024, meaning migration remained the key driver behind Ireland's 1.5%-2% annual growth in population.

Our forecast assumes net migration remains positive in the coming years but moderates from the recent high levels. But risks tilt to stronger-than-expected flows, which would support economic growth but also reinforce capacity constraints.

Long-term prospects

We expect economic growth to moderate over the medium term, but think Ireland's economy will continue to outpace most of its Eurozone peers. We see growth gradually falling to around 1.6% per annum in the 2040s, compared with a Eurozone average of less than 0.8% ([Chart 6](#)).

Chart 6: Long-term outlook remains modest, despite recent upgrades



Sources: Oxford Economics, Haver Analytics

Our forecast assumes Ireland will remain a hub for multinationals, on which it imposes a 15% corporation tax rate. Ireland's highly educated workforce, efficient legal system, business-friendly approach to politics, and links to the US will likely remain important assets for attracting foreign investment. However, an increase in global trade tensions or a fundamental change in US trade and tax policy means uncertainty around potential outcomes is high. A sharp reversal in multinational activity in Ireland could significantly change the country's economic fortunes.

Ireland's demographic trends compare well with those of most other European countries, benefitting from positive net migration flows and a high birth rate. As a result, the working-age population and labour force are set to expand throughout most of the forecast period, whereas we expect declines for the Eurozone to start in the late 2020s.

But a decade of weak investment in public infrastructure and housing might become a major constraint for Ireland's medium- to long-term growth if it isn't quickly reversed. In particular, the shortage of housing could impede migration inflows, which the economy needs to complement the domestic labour force. Investment in public transport and early learning and childcare would contribute to increasing labour force participation, particularly for women.

The latest National Development Plan provides an ambitious investment package, but capital expenditure could fall short as priority tends to be given to day-to-day spending.

Scenarios

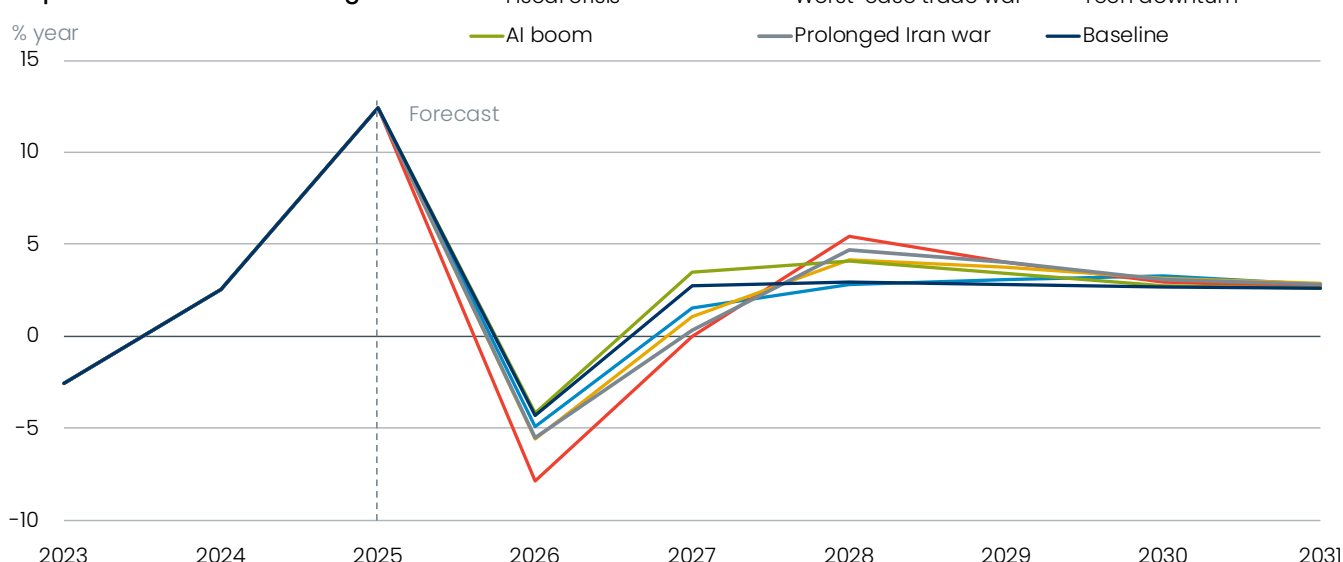
Exposure to key global risks

Worst-case trade war. In this scenario, US trade deals prove fragile. The US removes key tariff exemptions and raises import tariffs beyond trade-agreement levels. The expected USMCA negotiation fails to materialise, and tariffs remain elevated throughout the scenario. The US effective tariff rate rises to 33%, far above the 13% level in our baseline. China is particularly hard-hit, and affected economies hit back with corresponding tariffs on US exports.

The US economy contracts throughout 2026. Global growth slows to just 0.6% in 2026. The Irish economy is affected particularly severely, reflecting its high openness and dependency on trade. Ireland's average growth is around 1.3ppt lower per year than our baseline forecast for the next three years ([Chart 7](#)).

Chart 7: A more severe trade war and a tech downturn are key near-term risks

Impact of scenarios on GDP growth

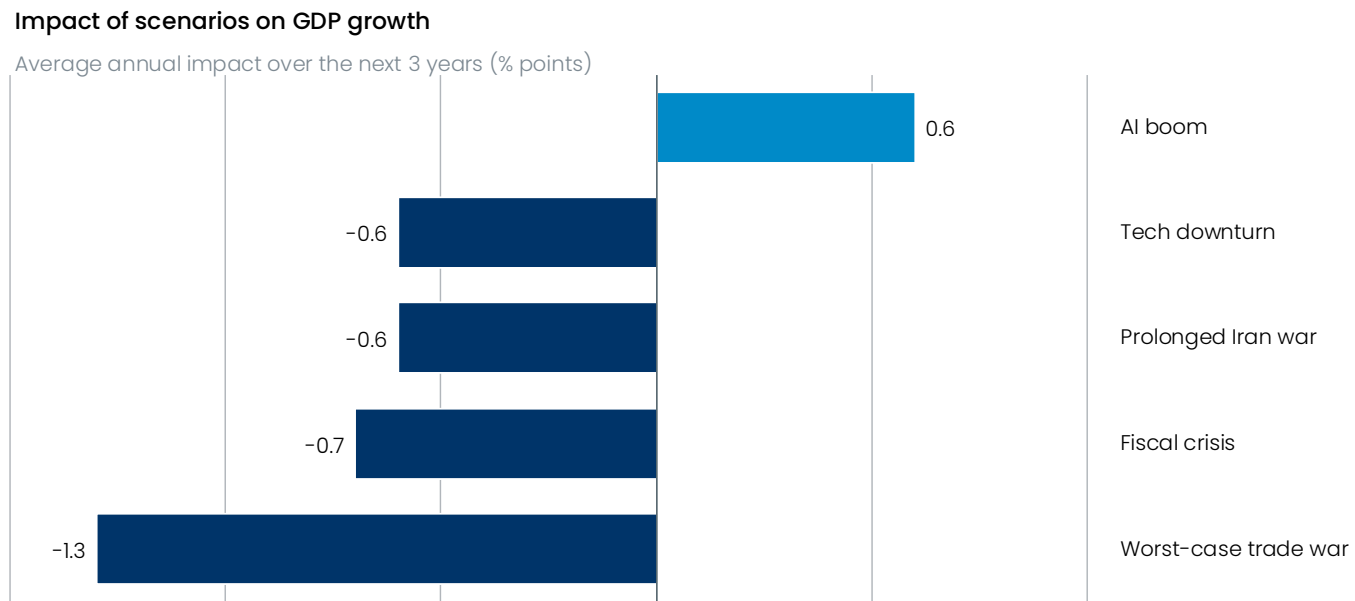


Source: Oxford Economics

Tech downturn. The AI boom turns into a bust in this scenario, with global growth slowing sharply amid falls in stock prices and investment. US tech stocks fall by 25% in the first year of the scenario as concerns rise regarding tech valuations.

US growth grinds to a halt during 2026, despite increased Federal Reserve easing, as the recent surge in US capital expenditure abruptly end. This spills over into global growth, which slows to 1.8% in 2026, 1ppt below our baseline. The Irish economy is again particularly badly hit in this scenario, given its high dependency on the sector and its links with the US economy.

Chart 8: Risks are skewed to the downside



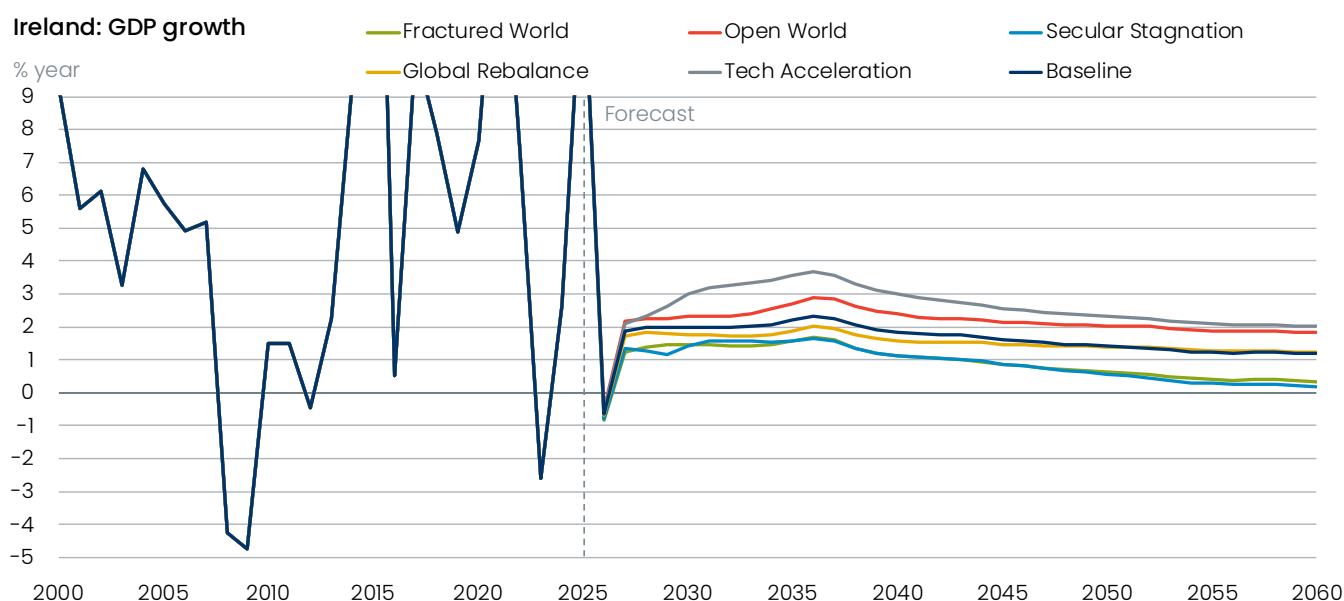
Source: Oxford Economics

Alternative long-run scenarios

Our Megatrends Scenarios explore alternative long-run scenarios to capture the uncertainty around technological advances, demographics, globalisation, and geopolitics. These include:

Technological revolution. In this scenario, the successful deployment of new technologies, including AI, spur on innovation and boost productivity growth. Advanced economies at the technological frontier benefit most, as new technologies are developed and implemented in these economies first. In the short run, investment rises, and structural unemployment is contained as policymakers use fiscal dividends to support workers displaced by AI. This causes Ireland's GDP to increase 1ppt a year more than in our baseline forecast for 2030-2060.

Chart 9: Globalisation and technological progress are the main scenario drivers



Sources: Oxford Economics, Haver Analytics

Fractured world. Under this scenario, trade barriers from rising protectionism become more widespread than in the baseline, driving further deglobalisation and a breakdown in international cooperation. High uncertainty and volatility lead to underinvestment in technology and R&D. Weaker institutions and reduced knowledge spillovers compound impacts on potential output, while poor productivity limits real wage growth and labour participation. In this scenario, Ireland's GDP grows by 0.9ppts a year less than in our baseline forecast for 2030-2060.

Economic risk

Economic risk evaluation

Table 2: Economic Risk Index

	JUN 2026 (SCORES FROM 1 TO 10 WITH 10 = HIGHEST RISK)	SCORE CHANGE FROM DECEMBER	RANK OUT OF 164 (1 = BEST)
Overall	3.0	-0.1	10
Market demand	5.0	0.0	56
Market cost	1.0	0.0	1
Exchange rate	3.3	-0.4	45
Sovereign credit	1.9	0.0	2
Trade credit	4.0	0.0	15

Source: Oxford Economics

Overall risk for Ireland: 3.0/10*

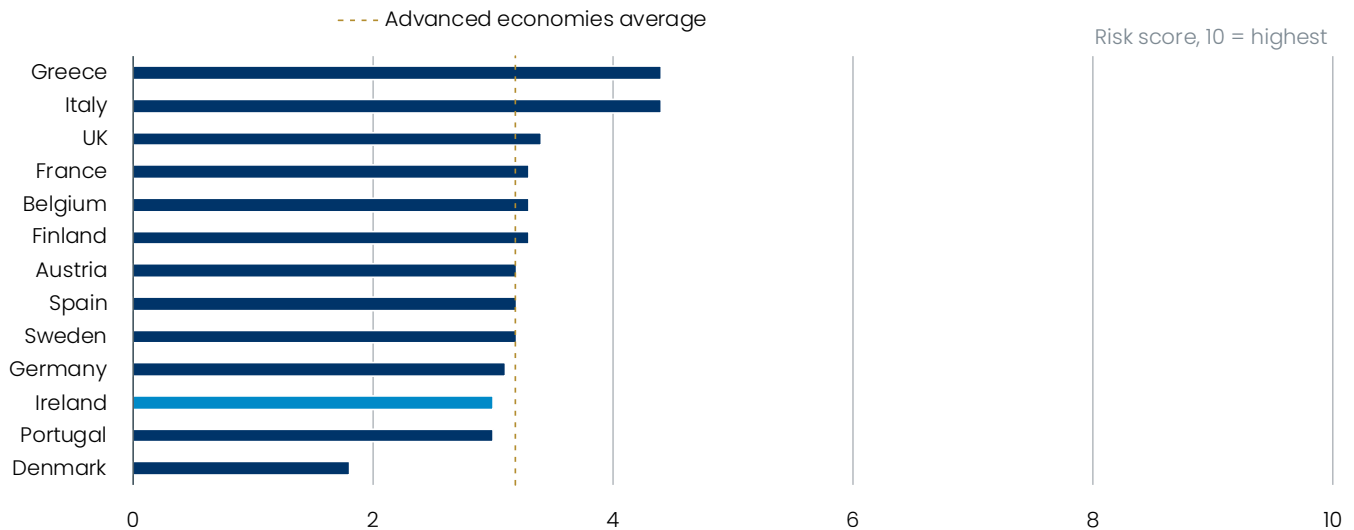
Ireland's overall economic risk score is 3.0, ranking it 10th out of 164 countries in our survey and below the advanced economies average.

Large multinational enterprises (MNEs) distort Ireland's GDP, but additional measures better aligned with underlying domestic demand show the economy has performed robustly in recent years. Employment has increased by nearly 19% since the pandemic, benefitting from strength in some MNE-dominated sectors, such as information and communications technology and pharmaceuticals, and more widely from solid expansions in

health, education, and public administration. Consumer spending was more than 21% above its pre-pandemic level in Q4 2025, representing a huge turnaround from the near 20% decline during the initial stages of the pandemic ([Chart 10](#)).

Chart 10: Ireland's risk score is below the advanced economies' average

Economic risk: Ireland vs Advanced economies average



Source: Oxford Economics

Market demand: 5.0/10

The market demand risk score is 5.0, unchanged from six months ago and above the advanced economies average of 3.4.

But this measure is too low and warped by dramatic swings in investment. Investment fell sharply last year after somewhat recovering in 2022 and 2023. The activities of multinationals heavily distort investment figures, such as intangibles and aircraft leasing. Still, investment in new housing is set to solidly pick up amid a persistent housing shortfall, after more than a decade of weak building output.

Market cost: 1.0/10

The market cost risk score is 1.0, well below the advanced economies average of 2.7. Still, the indicator paints an overly flattering image of Ireland's economy. Extraordinary GDP rises in recent years, partly driven by multinationals' accounting strategies, have improved GDP per capita and Ireland's relative labour cost competitiveness, which depends on wage and economic growth. Although generally solid since 2017, wage growth has remained broadly under control, considering the labour market has been tight over most of this period.

Exchange rate: 3.3/10

Under our methodology, exchange rate risk is 3.3, in line with that of other Eurozone economies.

The euro surged to \$1.20 in early 2026 as US tariff uncertainty and concerns about softer US growth drove dollar weakness. But the pair has since pulled back to around \$1.15 as those initial drivers have partially faded and risk-off episodes due to the conflict in the Middle East have favoured the US dollar. Resilient US economic data has tempered expectations of Fed easing, while the Iran war poses a structural headwind for the euro: Europe's

greater energy import dependence makes it more exposed than the US to sustained oil price rises. ECB rate hikes offer some near-term support, but the associated tightening in financial conditions also weighs on the growth outlook. We forecast EUR/USD at \$1.17 at end-2026 and \$1.18 at end-2027, as fading structural headwinds provide modest longer-term support.

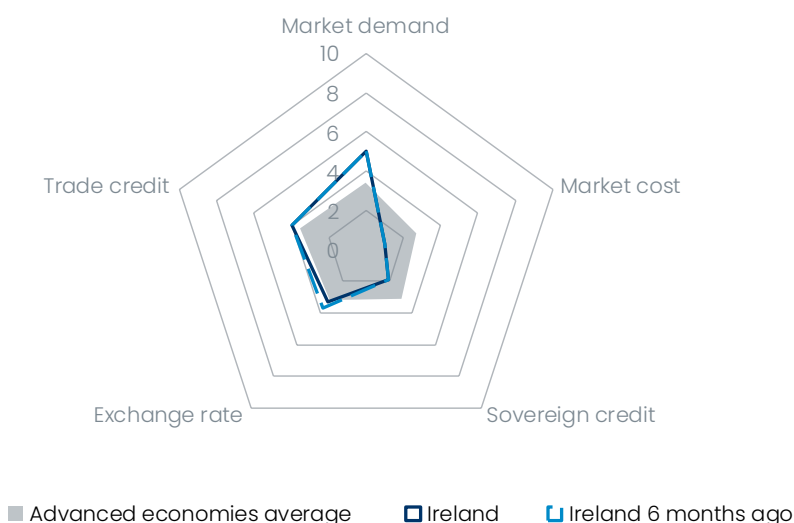
Sovereign credit: 1.9/10

Ireland's sovereign credit score is 1.9, the second-best in our ranking. Over the past few years, Ireland's credit rating has improved. In March 2026, S&P upgraded it to AA+, only a notch below AAA. Other major agencies last upgraded Ireland in 2024, but the positive outlook from Moody's suggests Ireland's credit rating might see further upgrades in coming months.

Strong growth in tax receipts from the multinational sector drove a quick return to a budget surplus in 2022, which has been maintained in recent years. But expansionary budgets have pulled the expected fiscal surpluses down over the medium term. Indeed, the government plans to spend roughly three-quarters of its expected excess corporate tax receipts, leaving the country with a large and growing underlying deficit. Despite this fiscal largesse, we estimate contributions to the Future Ireland Fund could reach a total of €75bn by 2035, with investment returns expected to add to the pot. The government suggests as much as €100bn could reside in this fund eventually, providing an important buffer to support long-term expenditure.

Chart 11: Ireland scores comparatively well on sovereign credit

Economic risk: Ireland vs Advanced economies average



Source: Oxford Economics

Trade credit: 4.0/10

The score of 4.0 for trade credit risk – a measure of private-sector repayment risk – is above the Western Europe average of 3.2. Household debt has fallen sharply since the global financial crisis and mixed-rate loans have become more common, somewhat reducing the passthrough from interest rate hikes and cuts to household interest payments. In contrast, corporate debt levels are still high, and variable interest rates are common in this segment, suggesting firms should benefit more from recent interest rate cuts. But risk aversion among lenders may hold back new lending, given Ireland is particularly exposed to the trade war.

* Risk scores are from 1 to 10, with 10 representing the highest risk. For our full country risk service, see [Economic and Political Risk Dashboard](#). Sovereign credit risk comes from our sovereign risk tool and foreign exchange risk comes from our FX tool. [Find out more](#).